

Procure Space ETF

SPCX NASDAQ

Hold	\$151.73 ▲ 0.34%	12M Price Target \$170.00	52-Week Range \$104.83 – \$225.64	Market Cap \$2.00T
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SPCX: Space ETF Steady as AI Jitters Rattle Broader Market

WHAT HAPPENED

- SPCX barely budged (+0.34%) while the broader market got hit by AI safety warnings from Anthropic and a 10-year Treasury yield crossing 5% — that's actually meaningful, because it means space names held up while tech got sold. Translation: investors are treating space/defense as a somewhat separate bucket from the AI trade.
- Volume dropped hard today (~47M vs 120M mid-week) — that's a "nobody's fighting over this stock" signal, meaning the recent bounce from \$147 to \$151 has weak conviction behind it. Not bearish, but not the kind of accumulation that launches a breakout.

WHY IT MATTERS

Here's the interesting tension: the 10-year yield crossing 5% is a headwind for basically every long-duration growth story, and space companies (long timelines to profitability) fit that bill perfectly — yet SPCX shrugged it off today. That tells me the defense/space allocation trade is doing real work as a diversifier when AI wobbles. The Trump admin's push to accelerate AI and data centers indirectly helps space too, because satellite broadband (Starlink and peers) is critical infrastructure for connecting all those data centers and edge compute nodes. Watch for capital rotation: if the AI slowdown chatter continues, defensive-growth themes like space/defense could actually catch a bid as money looks for the next narrative that isn't fully played out.

POLICY & POLITICAL WATCH

The big one to watch: the FY2027 defense authorization is working through Congress with the Space Force budget requested at a record level — if that clears without cuts, it's a direct tailwind for the government-contractor holdings in SPCX (Rocket Lab, Iridium, defense-linked names). Second, Trump's stated hostility to AI slowdown means fewer regulatory chokepoints on the AI/satellite/data-center flywheel, which benefits commercial space communications players. On the risk side, watch any tariff escalation with China — space components have exotic supply chains, and rare earths for satellite propulsion and sensors are a known pressure point.

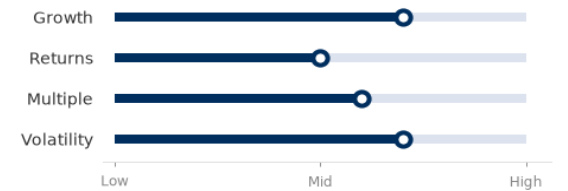
IS IT EXPENSIVE?

SPCX trades as a basket, so the "valuation" is really a blend — right now the ETF sits at 39% of its 52-week range (\$105-\$226), which is the middle of nowhere: not cheap, not expensive. Given that the top holdings include profitable defense primes AND cash-burning space startups, you're paying a fair price for a mixed bag with genuine upside optionality. The stock would look cheap under \$140 and stretched above \$190 without a fresh catalyst.

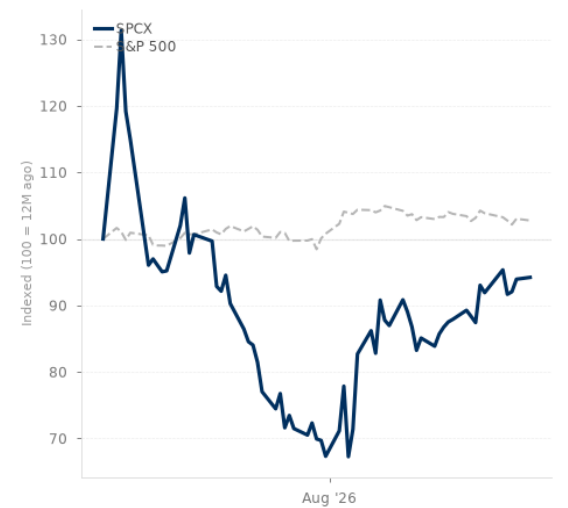
Key Data

Price (USD)	\$151.73
12M Price Target	\$170.00
Upside / (Downside)	+12.0%
Market Cap	\$2.00T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$165.00	\$155.00	\$142.00
6 Months	\$190.00	\$170.00	\$135.00
1 Year	\$225.00	\$185.00	\$125.00
2 Years	\$275.00	\$210.00	\$115.00
5 Years	\$400.00	\$280.00	\$100.00
10 Years	\$700.00	\$425.00	\$90.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.26%) leading on the AI infrastructure theme — Alphabet, Meta, and telecom all benefit from the "build more, don't slow down" administration stance. Healthcare and Staples catching a bid as defensive rotation kicks in with yields spiking.

COOLING OFF: Energy (-0.68%) despite crude gains — that's a tell that traders are de-risking cyclical. Real Estate (-0.55%) getting hit directly by the 5% yield print.

ROTATION WATCH: Money is quietly moving from pure AI beneficiaries into "AI-adjacent" plays — satellite comms, defense, and infrastructure — because they get the spending tailwind without the "are we in a bubble?" debate. That's exactly SPCX's neighborhood.

RELATED PLAY: If space keeps working, look at ITA (defense ETF) as the cleaner, cheaper cousin, or Iridium (IRDM) individually for satellite comms exposure without the speculative small-cap drag.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Comm Services leader today, and coincidentally SPCX's largest holder — their space/satellite ambitions (via investments and infrastructure) create a reinforcing loop
- ORCL (Oracle): Highlighted in Barron's today, riding the data-center/AI infrastructure wave that indirectly needs satellite connectivity

SPCX CONTEXT: SPCX is lagging the mega-cap comm/tech leaders but outperforming Real Estate and Energy — that middle-of-the-pack action is consistent with an ETF that's neither a pure risk-on AI play nor a defensive. It's telling you the space theme needs its own catalyst to break out — it won't just get dragged higher by the AI trade alone.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$145-148 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Defense budget cuts, sustained 10-yr yield above 5.5%, or major satellite launch failures at top holdings

Hedging: Pair with a short on ARKX or a small put position on IWM for small-cap risk-off protection